



Correspondent Sellers Guide

Effective January 1, 2026

Contents

SECTION 1: INTRODUCTION	5
Website	5
Contact Information	5
NQMF Holiday Schedule	5
SECTION 2: SELLER ELIGIBILITY AND ONBOARDING	5
Seller Eligibility	5
Experience	5
Net Worth	5
Maintaining Eligibility	6
Seller Performance	6
Fidelity Bond and Errors and Omissions	6
Seller Obligations	6
Confidentiality	7
Change in Status	7
Controlled Business Arrangement	7
Audits	7
Maintenance of Records	8
Advertising/Soliciting	8
Application Process	8
Onboarding	9
Recertification	9
SECTION 3: COMPLIANCE	9
Fraud Prevention	10
High Cost & Higher Priced Mortgage Loan (HPML) Requirements	10
Home Mortgage Disclosure Act (HMDA)/1003/demographic addendum	10
TILA-RESPA Integrated Disclosure Policy (TRID)	10
ECOA (Regulation B)	12
Fair Lending	12
Fair Credit Reporting Act (FCRA)	12
SECTION 4: RATE LOCK POLICIES AND PROCEDURES	12
Locks	12

Pricing Policy.....	13
Compliance with Loan Program Guidelines	13
Lock Policy and Locked Loan Attribute Changes	13
Extensions	14
Relocks	14
Cancelling Files	14
Float Downs	14
Rate Buy Downs	14
Minimum Floor Rates	14
Delegated and Bulk Pool Transactions	15
Loan Delivery	15
Pair-Off Fees	15
SECTION 5: UNDERWRITING	15
Underwriting Methods	15
Non-Delegated	15
Delegated	16
Underwriting Requirements.....	16
Ability to Repay (ATR)	16
Appraisal Independence	17
Data Accuracy	17
Scenarios and Exceptions.....	17
Scenarios.....	17
Exception Requests.....	17
SECTION 6: LOAN DELIVERY AND LOAN PURCHASE	18
Loan Delivery	18
Closing Documents*	18
Closed Loan File Delivery	18
Hybrid Closings.....	19
SECTION 7: Loan Purchase.....	20
Purchase Advice	20
Fees	21
Escrow Requirements.....	21
Wire Instructions	22
Pricing Errors.....	22
Mortgage Electronic System Inc. (MERS).....	22

Age of Files	22
SECTION 8: POST PURCHASE	22
Quality Control	22
NQMF reserves the right to conduct a pre or post purchase qualify control review of each loan submitted. As documented in the MLPA, Seller agrees to fully cooperate in this process to provide any missing or incorrect information or documentation identified by NQMF or its investors. The quality control process may also include confirmation of the value of the subject property. Any material variances, at the sole discretion of NQMF, must be addressed by the Seller. If NQMF determines that the loan does not meet its requirements for purchase, Seller shall promptly, as described in the MLPA, cure or repurchase the loans.	22
Notifications	22
Servicing	23
Payment of Invoices	23
Resolution of Investor Requests	23
SECTION 9: TRAILING DOCUMENTS	24
Trailing Documents Delivery Address	24
SECTION 10: EARLY PAYOFFS (EPOs) AND EARLY PAYMENT DEFAULTS (EPDs)	24
Early Payoffs	24
Early Payment Default	24
SECTION 11: Examination	24



SECTION 1: INTRODUCTION

Welcome to NQM Funding, LLC's Correspondent Lending Program. NQM Funding, LLC (NQMF) expects each Seller to be committed to originating loans of investment grade quality using responsible lending practices while adhering to all federal and state regulatory requirements. This Seller's Guide (the "Sellers Guide") does not replace or modify any signed agreements such as the Mortgage Loan Purchase Agreement (the "MLPA").

Website

Seller resources, such as Underwriting Guidelines, Program Matrices, Forms, Resources, and access to the Seller Portal can be accessed on our website located at <https://nqmf.com>.

Contact Information

Lock Desk:	CorrespondentLockDesk@nqmf.com
Exception Desk:	NonQMEExceptionDesk@nqmf.com
Portal and Credential Requests:	NonQMCredentials@nqmf.com
Purchase Review:	CorrPurchaseTeam@nqmf.com
Collateral Review:	CorrCollateral@nqmf.com
Correspondent Support	CorrespondentSupport@nqmf.com
Customer Support	CorrSupport@nqmf.com

NQMF Holiday Schedule

New Year's Day
Memorial Day
Independence Day
Labor Day
Thanksgiving / Day After
Christmas Day

SECTION 2: SELLER ELIGIBILITY AND ONBOARDING

Seller Eligibility

Experience

Seller must have sufficient experience delivering high quality loans to NQMF to be granted the opportunity to participate in the correspondent lending program. In addition, the Seller must have been an active originator of investment grade loans for a minimum of two (2) years.

Net Worth

Seller must meet and maintain net worth requirements of \$1,000,000.



Maintaining Eligibility

NQMF requires all Sellers to maintain eligibility to deliver closed loans for purchase. NQMF may, at its sole discretion, suspend, deactivate, terminate, and/or cancel any pending interest rate locks or commitments for any Seller that fails to meet eligibility requirements.

Seller Performance

NQMF will review and evaluate the performance of its approved Sellers on a quarterly basis (or at its discretion). NQMF will provide each Seller with a quarterly scorecard. The scorecard will be available on LoanScape by the second week of monthly following quarter end. Such scorecards may or may not contain all the information listed below.

The following are the requirements to maintain eligibility as an approved Seller in good standing with NQMF.

- Sellers must be in full compliance with the MLPA, which is incorporated by reference to this Seller's Guide
- Seller must maintain the following standards:
 - Pull through ratios.
 - Pull through standards: 65% of locked loans.
 - Production standards
 - NQMF takes pride in our partnerships and requires our Sellers to actively submit production to NQMF. If the Correspondent has not submitted mortgage loans to NQMF within a six (6) month time frame, Seller may be placed in an inactive status. NQMF's Account Executives will work with you to identify opportunities for additional training and to determine if the relationship is a fit for the Correspondent Channel. If the Correspondent has not submitted mortgage loans to NQMF within a 12-month period, the relationship may be terminated at our sole discretion.
 - Quality/Trend Evaluations
 - NQMF will monitor each Seller's production to measure trends and quality including but not limited to:
 - Credit Quality
 - Early Payment Default (EPD)
 - Early Pay-off (EPO)
 - Quality Control Reviews
 - Pull Through Ratios
 - Loan Performance
 - Outstanding trailing documentation
 -

Fidelity Bond and Errors and Omissions

Seller shall maintain, at its own expense, a blanket fidelity bond and an errors and omissions insurance policy with responsible companies that would meet the requirements of Fannie Mae and Freddie Mac.

Seller Obligations

The Seller must be committed to the originating loans of investment grade quality using responsible lending practices while adhering to all federal and state regulatory requirements. The Seller must be duly organized, in good standing and properly licensed under the applicable



jurisdiction in which it lends. The Seller must also be in good standing with all applicable regulatory authorities.

Seller will comply, and will remain in compliance, with the SAFE Act, Regulations G and H, for all licensing and/or registration requirements applicable to the origination of loans to be purchased by NQMF.

The Seller agrees to act in compliance with the terms and conditions of the MLPA as well as those found in this Seller's Guide.

Confidentiality

Seller and NQMF acknowledge that each will be providing the other party with valuable proprietary information ("Confidential Information") including, but not limited to, information regarding NQMF's or Seller's products, programs, underwriting policies, procedures, and Sellers. Except as necessary to perform its obligations under this Agreement, to provide required information to its regulators or as required by law, each party will not disclose any Confidential Information to any person outside that party's organization and will limit access to this information within its organization on a strict "need to know" basis and will comply with the confidentiality provisions of the NQMF Guidelines. Each party agrees to notify all its directors, officers, employees, and other agents of its obligations regarding Confidential Information and will cause such directors, officers, employees, and other agents to comply with such obligations.

Change in Status

Seller will immediately notify NQMF if Seller and/or any of its principal director(s), or owner(s) becomes the debtor in any voluntary or involuntary bankruptcy proceeding; requests the appointment of a receiver; and/or has incurred or is likely to incur a material, adverse change in its/their financial condition.

Seller will immediately notify NQMF of any material change in ownership and/or management.

Seller will immediately notify NQMF of any findings of Fraud, Violations of RESPA Section 8, Suspension or Revocation of Licenses or inclusions in any Exclusionary Lists.

Controlled Business Arrangement

NQMF requires that Sellers that maintain Controlled Business Arrangements with affiliate companies, including but not limited to, title or escrow companies, must provide full disclosure of the name and nature of said affiliated business. For purposes of this provision, the term "Affiliated" shall refer to any entity owned or controlled by the Seller or owned or controlled by any of the Seller's owners, officers, directors, or employees.

Audits

Seller will allow NQMF to periodically investigate the financial (including, but not limited to, obtaining corporate and/or individual credit reports) and other statuses of the Seller and, if necessary, the financial and other statuses of the Seller's directors, officers, and/or employees. Seller shall cooperate with NQMF to obtain written consent from one or more of the Seller's



directors, officers, and/or employees to such periodic investigation. Seller agrees that the failure to obtain such consent may result in the termination of this Agreement. Seller will promptly

respond to or otherwise comply with NQMF's reasonable request(s) for periodic financial statements, results of any quality control programs, and any other documentation required by NQMF. Seller shall, upon request by NQMF, execute supplemental resolutions, acknowledgements and/or certifications as may be necessary to evidence power, authority, and capacity of Seller to enter and perform under this Agreement.

Maintenance of Records

Destruction and/or retention of the non-public personal and/or financial information associated with all loans and the related loan borrower(s) and mortgagor(s).

Seller is responsible for the security oversight of its own service providers/vendors overseeing Borrower non-public information to ensure consumer privacy.

Advertising/Soliciting

Seller may advertise to the public the availability of various loan programs, but Seller may not in any way directly or indirectly identify NQMF in any such advertising unless NQMF has, in advance and in writing, approved use of NQMF's name in such advertising.

Seller agrees that the borrower(s) on all loans shall (at the time of purchase by NQMF) become the exclusive Sellers of NQMF for all loan-related purposes. Seller and Seller's directors, officers, employees, agents, or affiliates will not (without the prior written consent of NQMF) use targeted advertising, solicit, or otherwise directly encourage or incent the borrower(s) to refinance or prepay the loan that was purchased by NQMF or use or provide any Seller lists to solicit, promote, or allow any other entity to solicit or promote the sale of financial services or products to any such borrower(s). NQMF and Seller agree that nothing contained herein shall prohibit advertising or solicitation by the Seller that is directed to the public or shall prohibit advertising or solicitation of financial services other than mortgage products to existing or former non-mortgage Sellers of Seller or its affiliates.

Application Process

Seller may apply to do business with NQMF by completing the online application process accessed through Loanscape.

The use of Loanscape streamlines the process for Sellers, and sets up an annual recertification process, where Sellers will be responsible for providing the requested documents to maintain eligibility.

The following documentation is typically required for Seller Approval.

- Correspondent Application and Questionnaire in Loanscape
- Seller Formation Documents (i.e., Articles of Incorporation, Corporate Bylaws, EIN, etc.)
- Certificate of Good Standing from Seller's state of formation (dated within 60 days)
- Mortgage Loan Purchase Agreement (MLPA) – NQMF Template signed/dated with NQMF countersignature.
- Current Business Licenses (or Page List from NMLS Consumer Access)
- Current Audited Financials from most recent 2 years and most recent quarter



- Current Resumes for department heads
- Organizational Chart reflecting the names and functional titles of key staff.
- IRS Form W-9 (Completed, Signed, and Dated within 60 days of application date)
- Unexpired Fidelity Bond, Errors & Omissions, and Surety Bond Insurance
- Profit & Loss Statement (Annually, Quarterly, & Monthly)
- Balance Sheet (Most recent quarter)
- Warehouse Line Information (including contact name, email, and Wiring Instructions)
- Investor Scorecards (Top 3-5)
- List of Corporate officers authorized to sign on behalf of the company.
- Affiliate Business Disclosure
- Corporate or LLC Resolution Form (NQMF template)
- Quality Control Plan
- AIR (Appraisal Independent Requirements) Policies and Procedures
- Cyber Security Policy and Procedures
- Executed Sell-Side Agreement with LoanNEX if an agreement is not already in place.

Onboarding

Once Seller has been granted initial approval, mandatory onboard training is required, which provides an overview of how to successfully do business with NQMF before being eligible to deliver loans.

Recertification

NQMF will complete an annual review and recertification of the Seller on the anniversary of their approval through the Loanscape Platform. As part of the recertification process, the Seller must:

- Confirm any key contact changes.
- Indicate any critical changes within the organization which have occurred over the past year.
- Provide updated Certifications and including but not limited the broker agreement.
- Provide updated Financials.
- Provide updated Errors and Omissions and Fidelity Bond policies.

Information needed to complete the renewal process must be provided in a timely manner by the Seller. Failure to provide the information in a timely manner may result in the Seller's approved status being suspended until such information is received and reviewed.

NQMF reserves the right reject any loan submitted by the Seller if the Seller has not completed the requirements of the annual review.

SECTION 3: COMPLIANCE

Sellers are required to comply with all regulatory requirements and should consult with their own legal counsel to ensure full compliance with all applicable federal, state, and local laws and regulations.



Fraud Prevention

Seller must have and enforce a Zero Tolerance Fraud Policy.

All employees, independent contractors, and Sellers of NQMF are fully responsible for the content and quality of each application and all data on those applications taken and submitted to NQMF. The price paid by those who participate in or are impacted by loan fraud is even more costly, impacting borrowers, family members, neighborhoods, and the nation's overall economy. If a borrower cannot legitimately qualify for a loan or afford a particular property, you are doing them a disservice by encouraging or enabling them to purchase a property (or loan) they cannot afford and may lose to foreclosure. Closing a loan for a borrower, without verifying they can afford it, is considered predatory lending.

NQMF will not tolerate loan fraud. NQMF stands behind the quality of its loan production and expects all our associates and Sellers to do the same. NQMF practices a zero-tolerance policy of any predatory lending, loan fraud, and/or misrepresentation. We perform pre-funding as well as post-funding file reviews and data integrity reverification to ensure all loans meet quality standards. Part of the pre-funding audit includes a review of the Seller's provided third-party fraud review tool to ensure any identified risks were properly analyzed. Additional information may be required depending on the results of the fraud report.

High Cost & Higher Priced Mortgage Loan (HPML) Requirements

Except for certain second liens, NQMF will not purchase any loans defined as a high cost or predatory loan. A refund for excessive fees is not an acceptable cure for a loan closed as high cost.

NQMF will purchase loans determined to be HPML subject to all agency requirements for compliance. Escrow waivers are not permitted on HPML loans.

Home Mortgage Disclosure Act (HMDA)/1003/demographic addendum

Seller must comply with all legal requirements regarding the reporting of data annually about home purchase loans, home improvement loans, and refinance loans which they originate or for which they receive applications, and to disclose certain data to the public. This policy addresses specific requirements created by the Home Mortgage Disclosure Act, 12 USC 2801, et seq., as implemented by Regulation C, and other state or federal rules or regulations that apply to the Seller. Such information must be delivered to NQMF on each file submitted by having an accurately completed 1003 and demographic addendum.

TILA-RESPA Integrated Disclosure Policy (TRID)

Seller must ensure compliance with all requirements of the TILA-RESPA Integrated Disclosure Policy (TRID). TRID applies to all applications on closed-end 1–4-unit dwellings attached to real property, regardless of occupancy, except for Business Purpose transactions.



For transactions subject to TRID 1026.19 (e), (f), or (g) of Regulation Z, the Seller must disclose once the following six items have been received:

- Consumer's Name
- Income as stated on the 1003.
- Social Security Number
- Property Address
- Property Estimated Value
- Requested Mortgage Loan Amount

The Loan Estimate (LE) is to be issued within three (3) business days of an application and at least seven (7) business days prior to consummation. A business day is defined as a day on which the Seller is open to the public for carrying on all its business functions. This will NOT include Saturday for the 3-day business rule but does include Saturday for the seven (7) business day requirement.

For the issuance of an updated LE, the change of circumstance must create a situation affecting settlement charges or eligibility. Changed circumstances may cause the estimated charge(s) to increase, or in the case of estimated charges identified in the LE, cause the aggregate of such charge(s) to increase by more than ten (10) percent.

Acceptable Change in Circumstances Include:

- An extraordinary event beyond the control of any interested party or other unexpected event specific to the consumer or transaction (i.e., Acts of God, war, disaster, or other emergency)
- Information particular to a borrower or transaction, which the Seller relied upon in providing the LE, which changed or is found to be inaccurate after the LE had been provided. The consumer is ineligible, or an estimated charge previously disclosed because of a changed circumstance, affecting the consumer's credit worthiness or the value of the security for the loan.
- Revisions requested by the consumer that cause an estimated charge to increase:
- Interest rate dependent charges, such as points or Seller credits that change because the interest rate was not locked when the disclosures required on the LE were provided. No later than three (3) business days after the rate is locked, the Seller shall provide a revised LE to the consumer with the revised interest rate, points, Seller credits, and any other interest rate dependent charges and terms.
- Other circumstances that are particular to the borrower or transaction, including boundary disputes resulting from the need for flood insurance or environmental problems

Closing Disclosures must be received by the consumer at least three (3) business days prior to consummation. If any of the following occur, a new CD must be provided to the consumer, and an additional three (3) day wait period applies:

- An increase in the previously disclosed APR by more than 0.125% or 0.25% for loans with irregular payments. Changes to the loan product or certain features (example: adjustable rate to fixed rate)
- The addition of a prepayment penalty



ECOA (Regulation B)

Seller must comply with ECOA/Reg B and not discriminate against an applicant on any prohibited basis during any aspect of a credit transaction or from discouraging an applicant or prospective applicant, either orally or in writing.

Seller must be committed to ensuring that all credit products and lending services are provided to all customers without consideration of any prohibited basis and in accordance with all applicable consumer financial protection and anti-discriminatory laws and regulations.

Fair Lending

NQMF is committed to fair and equal opportunity lending. Discrimination based on race, color, sex, sexual orientation, disability, national or ethnic origin, marital or familial status, religion, or age, is not permitted and not tolerated. Seller is required to treat all borrowers and prospective borrowers in a fair and consistent manner and ensure fair lending requirements are adhered to.

Fair Credit Reporting Act (FCRA)

Seller's must ensure compliance with all legal requirements of the Fair Credit Reporting Act (FCRA), its amendments, and any guidance from our regulators. The regulation details of the FCRA are in the CFPB regulation V. Section 1022. The FCRA's purpose is to ensure the accuracy and fairness of the credit reporting system. Seller will ensure:

- The information gathered by the consumer reporting agencies is accurate and fairly represents the credit experience of consumers; and
- Privacy of consumer's credit is protected, and that release of credit information is only under one of the permissible purposes. Consumer reports are used only for legitimate purposes.

SECTION 4: RATE LOCK POLICIES AND PROCEDURES

Locks

Lock Desk Operational Hours:

Monday - Friday: 8:30am – 8:00pm EST

Lock Hours: M-F 9:30am – 7:00pm EST

Pricing is valid from 9:30 am to 7:00 pm EST. Any lock received after 7:00 pm EST may be subject to the next day's pricing. Loans may be locked Monday through Friday, except for Federal and NQMF Holidays during the locking hours. Individual flow loans should be locked through the TPO Portal using the Request Lock button from within the loan. See the "How to Price and Lock User Guide" for more information. Once the lock is requested by the Seller, a Lock Request Notification will be sent to the Correspondent Lock Desk, who will then confirm the lock data and lock the loan.



It is the Seller's sole responsibility to validate the lock confirmation and bring any errors to our attention within 24 hours of the issuance of the confirmation. Changes after that period are subject to market conditions.

If the loan is unable to be requested in the portal, email CorrespondentLockDesk@nqmf.com a request to lock and include the results from the PPE Vendor indicating the terms of the Lock Request.

- Bulk Bids should be submitted to Bids@nqmf.com.
- Bulk Lock Update Requests should be submitted to the lock desk at CorrespondentLockDesk@nqmf.com.

Pricing Policy

NQMF uses LoanNEX as our primary PPE vendor. Additional vendors may be supported, such as Optimal Blue, Polly, Lender Price, and EPPS. LoanNEX may be accessed directly within the NQMF Portal. The system will house the base price, adjustments, and SRP schedule. The system will also contain all Seller margins, as set up and maintained by the Seller. The price shown in the field will be a buy price to the borrower in which comp is already considered.

Compliance with Loan Program Guidelines

NQMF only honors locks on loans that conform to the published program guidelines or that have an approved exception to the guidelines. While the NQMF Product and Pricing engines are robust, they do not capture all the required information to determine if your loan conforms to each nuance of the guidelines published. Do not rely solely on the pricing engine or rate sheet to determine eligibility. The Seller is responsible for ensuring all loans delivered comply with the NQMF published guidelines.

Loans that are outside of the guidelines require an exception approval prior to lock. If it is determined that a loan does not conform to NQMF's program guidelines or an exception was not granted as of the date of the original lock, all lock protection becomes invalid, and the lock may be cancelled at the discretion of the NQMF Secondary Marketing Department.

Lock Policy and Locked Loan Attribute Changes

- Changes resulting in a loan program group (Flex Select/DSCR/Flex Supreme/Second Lien) change:
- Loans currently locked to NQMF Flex Select and subsequently determined to be ineligible under NQMF Flex Select but qualify for another NQMF product will be locked to worst case pricing between the original lock date and current market.
- Loans currently locked to NQMF Flex Supreme and subsequently determined to be ineligible under NQMF Flex Supreme but qualify for another NQMF product will be locked to worst case pricing between the original lock date and current market.
- Loans currently locked to NQMF DSCR and subsequently determined to be ineligible under NQMF DSCR but qualify for another NQMF product will be locked to worst case pricing between the original lock date and current market.
- Loans currently locked to NQMF Second Lien and subsequently determined to be ineligible under NQMF Second Lien but qualify for another NQMF product will be locked to worst case pricing between the original lock date and current market.
- No Relock fee will be charged.



- Loan changes not resulting in a change in loan program group (Flex Select/DSCR/Flex Supreme/Second Lien)
 - Attribute changes not resulting in a change in loan program group will be priced to the same rate sheet as the original lock.
 - Changes to income documentation that do not result in a loan program change will also be priced to the same rate sheet as the original lock.

Extensions

All extensions should be requested via email to CorrespondentLockdesk@nqmf.com, and must be approved by the Lock Desk. It is best to include your Account Executive on the request.

An extension cost, as shown on the Rate Sheet utilized to lock the loan, will be applied for seven (7) days or for fifteen (15) days.

If a loan contains an escrow for minor repairs, the lock period must cover the extension report until the repairs are completed and the escrow funds are released.

Relocks

All rellocks should be requested via email to CorrespondentLockdesk@nqmf.com. During the initial twenty-one (21) days post lock expiration date, all NQMF Non-QM mortgage products will be held to worse case pricing less 0.25 relock fee. Worse pricing is defined as the lesser of the day you locked, or the current market pricing. If there are any changes to the loan parameters from time of lock through closing, the changes will also be priced based upon time of lock. Once twenty-one (21) days from the date of the lock expiration have elapsed, the loan can be locked at market without cost.

Cancelling Files

Seller is responsible for cancelling locks on files that are no longer active. If a file is being cancelled, the lock may be transferred to the new file provided the lock is for the same borrower(s), address, and loan program. The old pricing and days remaining on the lock will be transferred, unless the file has been expired for twenty-one (21) days.

Float Downs

Float Downs are generally not available. For cost, email the lock desk at correspondentlockdesk@nqmf.com.

Rate Buy Downs

Rate Buy Downs will be permitted down to the minimum rate or minimum price, as listed on the daily rate sheets. All rate buy-down requests are to be submitted via email to CorrespondentLockdesk@nqmf.com.

Minimum Floor Rates

The minimum note rates are published on the Correspondent rate sheets and are posted in LoanNEX and Optimal Blue and cannot be broken without the approval of Secondary Marketing.



Delegated and Bulk Pool Transactions

Delegated and/or bulk pool transactions will follow the same policies listed above with a few differences. Approved Sellers may deliver delegated loans on a flow or bulk basis. All Flow and Mini-Bulk loans require the loan to be registered and locked with NQMF prior to loan delivery through the portal. For larger bulks, there are two options for registration:

- Seller may deliver a bid and data tape to the lock desk at CorrespondentLockDesk@nqmf.com and NQMF will create the files within the portal; or

Once the loans are created by NQMF within the portal, Seller should upload the complete delivery package for due diligence review. Refer to the Shipping Checklist located under the CORR Resources tab in the portal for required documents for submission.

Loan Delivery

All loans must be delivered according to the Loan Delivery requirements listed in this Seller's Guide.

Pair-Off Fees

In the event a delivery is short, a pair-off fee may be imposed. Any pair-off fees will be identified during the bid process and stipulated in the Bid Commitment.

SECTION 5: UNDERWRITING

Underwriting Methods

Sellers may be approved to deliver loans to NQMF on a Delegated or Non-Delegated basis. Regardless of the delivery method, NQMF requires all loans to be underwritten to the NQMF Program Guidelines. In certain circumstances, NQMF may allow a Seller to deliver to its own guidelines, such delivery requires advance approval and a fully executed Memorandum of Understanding (MOU) documenting variances, if any, prior to delivery.

NQMF, in certain circumstances, and with prior approval via the MOU, accept a reliance letter from an NQMF approved third party (TPR) vendor. Any variances noted in the MOU as "not granted" by NQMF, the respective loan(s) will be declined either as part of the pre or post purchase review. Seller should make every effort to exclude any loans that do not meet the MOU requirements.

Non-Delegated

Sellers are expected to first register their loans in the portal, then deliver said loans to NQMF with sufficient documentation for the underwriter to make a lending decision (see the Program Specific Checklists for detailed minimum submission requirements). In addition, loans must meet all requirements of the Underwriting Guidelines and Program Matrices, including but not limited to:

- Credit parameters
- Ability to Repay (ATR) requirements.
- Income documentation requirements

- Property acceptability
- Sufficient asset requirements and documentation
- Evidence of sufficient hazard and flood insurance as well as project insurance - when applicable

Upon submission, NQMF will perform a credit eligibility review based on the documents provided. The Seller is solely responsible for ensuring that all compliance requirements are met. NQMF's ultimate decision to purchase the loan is based on the Seller closing the loan in compliance with the initial credit eligibility review, including satisfying all necessary NQMF and third-party review (TPR) conditions.

The Seller must obtain a "clear to close" status in writing prior to closing the loan. Loans must be submitted for purchase meeting all conditions and requirements set forth in writing for NQMF to purchase and fund the loan.

Delegated

Approved Sellers may deliver delegated loans on a flow or bulk basis (see Delegated and Bulk Pools above).

Underwriting Requirements

Seller is responsible for ensuring each mortgage was underwritten in accordance with the NQMF Underwriting Guidelines, related Program Matrices, and this Seller's Guide. Any variances will be preapproved and documented through a signed Memorandum of Understanding (MOU). Failure to review the NQMF guidelines will not relieve Seller of any liability hereunder. In addition, Seller is responsible for ensuring each loan delivered complies with all terms listed in the MLPA.

Ability to Repay (ATR)

Under the general Ability-to-Repay (ATR) standard, Sellers must make a reasonable, good-faith determination that the consumer has a reasonable ability to repay the loan. Sellers must verify information using third-party records that provide reliable evidence of income or assets. If a loan is subject to the ATR rules under the Federal Truth in Lending Act ("TILA"), Sellers must consider eight (8) underwriting factors to ensure compliance:

- Current or reasonably expected income or assets (other than the value of the property that secures the loan) that the consumer will rely on to repay the loan.
- Current employment status (if you rely on employment income when assessing the consumer's ability to repay).
- Monthly mortgage payment for this loan. Calculate this using the introductory or fully indexed rate (whichever is higher) and monthly, fully amortizing payments that are equal.
- Monthly payment on any simultaneous loans secured by the same property.
- Monthly payments for property taxes and insurance that you require the consumer to buy, and certain other costs related to the property such as homeowner's association fees or ground rent.
- Debts, alimony, and child support obligations
- Monthly debt-to-income ratio or residual income, which was calculated using the total of the mortgage and non-mortgage obligations listed above, as a ratio of gross monthly income.



- Credit history. NQMF will not purchase a loan subject to the ATR requirement under TILA unless it meets the requirements of the rule.

Certain loans may be exempt from TILA or otherwise exempt from the ATR rule. In those cases, though NQMF may choose to purchase a loan that does not adhere to the formal requirements of the ATR rule, NQMF will only purchase loans that the applicant appears able to afford based on an application of prudent underwriting standards.

Appraisal Independence

It is the policy of NQMF to comply with all Appraiser Independence Requirements (AIR) of Dodd-Frank as adopted by FNMA, FHLMC, and the mortgage industry in general. NQMF will only accept appraisals completed by properly licensed or certified appraisers in the state in which the property is located.

Data Accuracy

Any information provided by the Seller to the purchaser with respect to each mortgage loan, including the information set forth in the related Mortgage Loan Schedule and any diskette or other related data tapes sent to the purchaser and the information contained in the Origination and Servicing File, is complete, true, and correct in all respects. The information on the Mortgage Loan Schedule is consistent with the contents of the Seller's records and the Origination and Servicing File. Except for information specified to be as of the origination date of the mortgage loan, the Mortgage Loan Schedule contains the most current information possessed by the Seller.

Scenarios and Exceptions

Scenarios

Scenario requests may be submitted to our scenario desk via the NQMF TPO Portal by using the prequal tab. This transmits any document through a secure delivery method. The TPO Portal can be accessed at: <https://nqmf.com>.

Once logged into the Portal, Bank Statement Analysis requests can be completed through the LGX Dashboard

Exception Requests

Loans not meeting the NQMF published guidelines and matrices must have an approved exception completed prior to loan delivery. To request an exception consideration, a copy of the completed exception request form detailing the exception request along with sufficient compensating factors as identified in the NQMF guidelines should be submitted to the exception desk at: NonQMExceptionDesk@nqmf.com.

Any personal identifiable information (PII) for consideration of the exception must be submitted securely through the NQMF Portal in one of two ways:

- Upload the documents to the unassigned placeholder within the loan in the portal for loans that have already been registered. When using this option, the exception request form must be emailed separately to the exception desk. Indicate within the email that the supplemental documents for consideration have been uploaded to the portal.
- Submit the documents through the prequal form using the exception request option within the Tools section of the portal for loans not yet registered.

Exception request for loans greater than \$3.5M must include the following:

- All loans must be registered in the Portal.
- The NQMF exception request must include the NQMF loan number and program name.
- 1008/1003 and Lender 1003
- Credit Report
- Income Worksheet
- Income Documentation (including Business Narrative) if applicable.
- Appraisal, if available
- Purpose of cash out (if applicable)

A copy of the approved exception must be included in the Loan Delivery package. The exception request form is in the Documents section of the TPO portal.

SECTION 6: LOAN DELIVERY AND LOAN PURCHASE

Loan Delivery

Closing Documents*

NQMF's closing documents are available through the following document vendors:

- DocMagic
- Ellie Mae/ICE
- DocuTech

* Co-op or any specialty documents are not available.

Closed Loan File Delivery

All loans must be registered in the portal and locked prior to the delivery of the closing package. The closing package must be delivered to NQMF prior to the lock expiration date and must include all documents listed on the Shipping Checklist which can be found in the Seller Portal. The loan must be purchased by NQMF within five (5) business days after the due diligence conditions are posted to the portal. If the loan cannot be purchased within this timeframe, the loan would need to be extended according to our lock policy.

Loans should be uploaded to the portal through <https://nqmf.com>. It is imperative in the event the Seller is approved to deliver loans under multiple channels, that the correct channel is selected during the loan upload process. Once the completed loan package is uploaded, the documents will be reviewed to securitization due diligence standards which will include, but will not be limited to, the following:

- Verification that all required documents have been delivered.
- Verification that all required data components have been obtained.
- Ensure loan compliance with the applicable loan program and underwriting requirements.
- Confirmation of the value of the property and the acceptability of the appraisal report(s)



- Verification of acceptable results from fraud screening and regulatory compliance tool(s)
- Review and confirmation of all disclosures and closing documents, including all Loan Estimates (LE's) and Closing Disclosures (CD's)
- Verification Life of Loan Flood Certification has been delivered.

Upon completion of the due diligence review, conditions will be posted to the loan and may be accessed by the Seller through the Seller Portal. Any deficiencies identified are required to be cured prior to loan purchase.

Hybrid Closings

NQMF allows hybrid closings executed as follows:

- E-signed documents may be delivered for all documents with the following exceptions:
 - Original wet signed Note and Allonge/Endorsement are required.
 - Mortgage/Deed cannot be e-signed.
- The system used for the remote online notarization must meet the following standards:
 - At least two-factor identity authentication, using a combination of at least two of the following factors:
 - Remote presentation of a government issued photo ID that has a signature,
 - Credential analysis,
 - Identity-proofing (knowledge-based authentication).

Proof of digital signatures must be provided when the closing package is delivered.

NQMF will not purchase loans closed with an eNote, eVault, or E-Closing.

Collateral Requirements

Seller must provide original collateral package including original note, bailee letter, allonge, original prepayment addendum (if applicable), original guaranty (if applicable), POA (if applicable), and CEMA docs (if applicable), via overnight mail to:

NQM Funding, LLC
ATTN: Collateral Department
4800 N. Federal Highway Building
Suite 200
Boca Raton, FL 33431

Note that if the Seller is utilizing Banc of California's warehouse line, the collateral will move from the Seller's vault to NQMF's.

Original note requirements:

- Original note must be delivered on (or prior to) the lock expiration date.
- The signature on the note must match the typed signatures or a name affidavit will be required; if a place for initials exists on the note, they must be provided.
- All borrowers on 1003 must sign the note.
- White out is not permitted; any strikethroughs must be initialed by all borrowers.
- Seller's name on page 1 must match the endorsement.

- Loan originator organization company and NMLS, as well as that of the individual loan originator, must match exactly as they appear in NMLS (not applicable for investment transactions)
- Original Note (as well as any addenda and riders) must be endorsed for loans:
*WITHOUT RECOURSE PAY TO THE
 ORDER OF [blank]
 (Name of Seller)
 (Signature of Officer)
 (Officer's Name and Title)*

If the note is endorsed by the warehouse bank, a copy of the POA giving the warehouse bank authority to endorse the Note must be included with the closed loan file.

- A separate allonge or an endorsement to the note must be provided.
 - Allonge must be original and referenced on the original note as an attachment. An allonge is preferred over an endorsement on the original note. The following information is required on the allonge:
 - Borrower(s) name
 - Property address
 - Loan amount
 - Note date
 - Must be properly endorsed
 - For loans where title is being vested in an entity name, allonge must list the entity name as well as the individual(s) signing on behalf of the entity.
 - For example: John Doe is the Managing Member of Doe Investment
 - The allonge needs to be executed by: "Doe Investment by John Doe, Managing Member"
 - Must be endorsed with the use of original signatures only. Abbreviations on endorsements are not permitted. Stamped signatures are not acceptable.
 - Must be signed by an authorized signor as listed on the corporate resolution and include the authorized signor's typed or stamped name and title.
- When delivering a mortgage for which a third party holds an interest (i.e., warehouse bank), a bailee letter must be included with each original note. If the bailee letter is delivered separate from the note, it is not considered to be valid. The bailee letter should include the Seller's name, NQMF's loan number, the principal balance, and wiring or payment instructions.
- The Seller is expected to notify NQMF of the shipping of collateral by uploading a copy of the overnight tracking label to the applicable loan level collateral condition.

SECTION 7: Loan Purchase

Purchase Advice

Seller will be provided with a Purchase Advice for review and approval once all "prior to purchase conditions" (including receipt of clear collateral) has been obtained.

Calculation of Unpaid Principal Balance

The unpaid principal balance (UPB) will be determined based on the loan purchase date as well as any applicable payments posted. Any loans purchased between the 1st and 15th of the month will be purchased on the payments being made to NQMF.



Any loans purchased between the 16th and the end of the month will be purchased based on the Seller collecting the following month's payment and the subsequent payments being due to NQMF. In addition, the following month's payment will be deducted from the purchase amount.

Example:

Scheduled Payment Date	NQMF Purchase Date	Payment Due to
03/01	2/15 or prior	NQM Funding, LLC
03/01	2/16 or after	Seller

Fees

Correspondent loans are subject to a loan review fee at the time charged of purchase as follows:

Non-Delegated:

- Admin Fee \$ 500.00
- Purchase Fee \$ 549.99
- Tax Service Fee \$ 100.00
- MERS Fee \$ 150.00
- CDA Fee \$ 106.00 *Only if NQMF Orders

Delegated:

- Purchase Fee \$ 599.99 *Standard Delivery Only
- Purchase Fee \$ 299.99 *Reliance Letter Delivery Only
- Tax Service Fee \$ 100.00
- MERS Fee \$ 150.00

Escrow Requirements

All payments of escrow items must be current prior to closing of the mortgage loan or be brought current as of the result of closing the loan. Escrow payments that will become due and payable within sixty (60) days of purchase by NQMF must be paid by the Seller prior to the purchase of the loan by NQMF.

When establishing escrow accounts, a two (2) month maximum cushion is required in the escrow/impound account pursuant to federal RESPA guidelines, unless there is a violation of applicable state law. The delivery package must include an initial escrow disclosure statement calculated in accordance with the principles of aggregate accounting. A tax information sheet, identifying the taxing authorities and applicable due dates, must also be provided.

Escrow accounts are required unless a waiver is specifically permitted by the applicable program guidelines.

Wire Instructions

Sellers are expected to provide a list of all their applicable wiring instructions during onboarding. In the event additional warehouse banks are set up, the Seller is responsible for providing NQMF with the updated warehouse bank information one (1) business day in advance of settlement.

Pricing Errors

If a pricing error is identified and subsequently purchased, Seller must notify NQMF within fifteen (15) days of the purchase date. All requests must be in writing and include the NQMF loan number, specific description of the funding error, and supporting documentation.

Mortgage Electronic System Inc. (MERS)

NQMF requires that every loan sold must be closed on a MOM (MERS as Mortgagee) Security Instrument, showing MERS as nominee for the Seller, or an assignment to MERS must be recorded upon the NQMF purchase of a loan.

- Sellers must comply with all MERS policies and procedures, including but not limited to, the proper and timely registration and transfer of the mortgage asset and associated servicing rights.
- Sellers must provide their MERS Org ID number.

Sellers must register with the MERS MIN# prior to loan purchase and are responsible for initiating the MERS Transfer of Rights within five (5) calendar days of the loan purchase to NQMF's Org ID # 1005914.

Age of Files

Loans must be purchased within ninety (90) days of closing. In the event the borrower has made any payments, or the loan is past the first payment due date, a payment history must be provided prior to loan purchase. NQMF will not purchase any loans that are delinquent.

SECTION 8: POST PURCHASE

Quality Control

NQMF reserves the right to conduct a pre or post purchase quality control review of each loan submitted. As documented in the MLPA, Seller agrees to fully cooperate in this process to provide any missing or incorrect information or documentation identified by NQMF or its investors. The quality control process may also include confirmation of the value of the subject property. Any material variances, at the sole discretion of NQMF, must be addressed by the Seller. If NQMF determines that the loan does not meet its requirements for purchase, Seller shall promptly, as described in the MLPA, cure or repurchase the loans.

Notifications

Seller is required to notify the following persons/vendors immediately upon purchase of the loan by NQMF that the loan has been sold and there is a new mortgagee clause and servicer address:

- Borrower – A goodbye letter, in full compliance with RESPA must be forwarded to the borrower providing new servicer information.
- Hazard Insurance (including any Flood or any other type of insurance)



- Mortgage Servicer with transfer date and forwarding information.

Servicing

The following address is to be used for the First Payment and Goodbye Letters:

Shellpoint Mortgage Servicing
P.O. Box 60535
City of Industry, CA 91716-0535

Servicing Phone Number: 800-365-7107
Toll Free Hours: Monday through Friday 8:00am – 9:00pm EST
Saturday: 10:00am – 2:00pm EST

If the Seller's current servicer is Shellpoint, please advise the borrowers to continue making payments to Shellpoint.

In instances where the Seller is responsible for collecting payments as identified in the calculation of the Unpaid Principal Balance (UPB) section of the Seller's Guide, Seller must deliver a payment history to NQMF upon receipt of the borrower's payment amount showing that the payment was made in a timely manner and detail the exact amount and breakdown of the PITI payment. Payment history should be sent to: Servicing@NQMF.com and reference the borrower's name, property address, and NQMF loan number.

If a pass-through payment is received post transfer, the Seller is required to remit the payment to NQMF via wire transfer, overnight mail, or courier on the date of receipt in accordance with the terms of the MLPA.

Overnight Payments ONLY
Shellpoint Mortgage Servicing
75 Beattie Place, Suite LL202
Greenville, SC 29601

Payment of Invoices

Timely payment of any invoices issued by NQMF is required and critical to the Seller maintaining good standing.

If the Seller fails to pay NQMF any sums which are owed by the Seller, NQMF shall be permitted to offset such sums from any amounts which are due or become due to the correspondent. NQMF, at its sole discretion, reserves the right to deduct the offset amount from the gross premium payable on any loan to be purchased by NQMF for payment of any outstanding invoices.

Resolution of Investor Requests

Seller remains responsible to NQMF for loans sold to NQMF by Seller. If a subsequent investor determines that a loan is deficient or is subject to repurchase, Seller is obligated **to respond timely** NQMF to:

- Provide requested information to resolve any outstanding deficiencies in a timely manner.



- Repurchase the loan if there is a breach that falls within the scope of the representations, warranties, or covenants of the MLPA between Seller and NQMF.

SECTION 9: TRAILING DOCUMENTS

Seller shall, promptly following receipt of documents from the applicable recording office, deliver such document(s) to the purchaser or its designee; provided however, that such document(s) shall be delivered to the purchaser no later than ninety (90) days following the related closing date.

In the event that such custodial file document(s) submitted for recordation to the appropriate public recording office is not delivered to the purchaser or its designee within ninety (90) days following the related closing date, the related mortgage loan shall, upon the request of the purchaser, be repurchased by the Seller at the repurchase price within ten (10) days of such written demand.

Trailing documents include, but are not limited to:

- Original recorded mortgage and any applicable riders and/or addendums
- Original recorded assignment of mortgage
- Original final title insurance policy and any applicable endorsements

Trailing Documents Delivery Address

Trailing documents are to be delivered with correspondence referencing the NQMF loan number and the documents included to:

NQM Funding, LLC
c/o DocProbe
1133 Ocean Avenue
Lakewood, NJ 08701

SECTION 10: EARLY PAYOFFS (EPOs) AND EARLY PAYMENT DEFAULTS (EPDs)

Early Payoffs

Please refer to the MLPA Section under Early Payoffs

Early Payment Default

Please refer to the MLPA Section under Early Payment Default

SECTION 11: Examination

Seller shall permit any officer, employee, or designated representative of NQMF at any reasonable time during regular business hours and upon reasonable advance notice by NQMF to conduct an examination and audit on Seller's premises of any of the processes implemented and documents kept by Seller regarding any loan purchased by NQMF pursuant to this Seller's Guide.



If Seller fails to timely deliver in accordance with the applicable terms and conditions specified in this agreement, all documents and records associated with or related to any loan purchased by NQMF. Seller shall also make its officers, employees, and/or designated representatives available to NQMF and shall cooperate with NQMF in all such examinations, audits, and document and record collection activities.